TEACHER GUIDE

IB Diploma Programme Business management HL

# Leadership and management

Unit 2: Human resource management
**2.3 Leadership and management**



A revision lesson. Pupils run a car dealership in firms of four and revise leadership and management on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Situational style

Round 1

A manager is autocratic with new trainees but lets the expert team decide alone.

**Which approach to leadership is this?**

- **A** Democratic leadership
- **B** Situational leadership
- **C** Paternalistic leadership
- **D** Laissez-faire leadership

**ANSWER**

**✓ Situational leadership**

**Why:** Changing style to suit the staff and the task is situational leadership.

## 2 Autocratic effects

Round 1

A manager decides everything alone and gives orders.

**Which two effects are most likely over time?**

- **A** Decisions are made quickly
- **B** Staff feel more involved
- **C** Skilled staff feel undervalued
- **D** Decisions take longer
- **E** Staff gain more responsibility

**ANSWER**

**✓ Decisions are made quickly**
**✓ Skilled staff feel undervalued**

**Why:** Deciding alone is quick, but skilled staff want a say.

## 3 Styles by staff say

Round 2

Four leadership styles.

**Order them by how much staff decide, least first?**

- **A** Democratic
- **B** Autocratic
- **C** Laissez-faire
- **D** Paternalistic

**ANSWER**

**1. Autocratic**
**2. Paternalistic**
**3. Democratic**
**4. Laissez-faire**

**Why:** Paternalistic leaders still decide, but explain and consult more than autocrats.

# Topic tasks

## 4 Error rate rise

Round 2

A new laissez-faire manager took over.

**By what % did the number of errors rise?**

| | |
|---|---|
| Deals a month | **200 deals** |
| Pricing errors before | **16 errors** |
| Pricing errors now | **24 errors** |

**ANSWER**

**50%**

(24 − 16) ÷ 16 × 100 = 50%

**Why:** Little direction suits skilled staff; here errors rose by 50%.

## 5 New team, deadline

Round 3

A new, untrained team must deliver a big fleet order by Friday.

**Which approach fits, and why?**

**A** Let the team decide how

**B** Clear instructions from the manager

**ANSWER**

**✓ Clear instructions from the manager**

**Why:** Untrained staff and little time need clear direction.

## 6 Laissez-faire risk

Round 3

A laissez-faire manager runs a team of new trainees. Errors and complaints rise.

**What best explains the problem?**

**A** Trainees lack the skill to work alone

**B** Decisions are too centralized

**C** The manager is too controlling

**D** Staff have too little freedom

**ANSWER**

**✓ Trainees lack the skill to work alone**

**Why:** Laissez-faire suits skilled, motivated staff; trainees need direction.

# Final questions

Each pupil answers 6 final questions on leadership and management. They come from these 8 questions.

1. A dealer says managers welcome challenge, but staff say every failed decision is punished. Which cultural effect is most likely?
   ✔ **Staff stop raising risks or new ideas**

2. A safety incident at a branch needs immediate coordinated action. Why might a usually participative leader become more directive for now?
   ✔ **Urgent risk needs fast, clear decisions**

3. A workshop foreman decides every job allocation himself and tells technicians exactly how to do each task. Which leadership style is this?
   ✔ **Autocratic**

4. Before changing opening hours, a sales manager asks the team for views and lets them vote. Which leadership style is this?
   ✔ **Democratic**

5. Experienced technicians set their own hours and methods; the manager steps in only when asked. Which leadership style is this?
   ✔ **Laissez-faire**

6. A brake fault is found on cars in the showroom. Why might an autocratic style suit the next hour?
   ✔ **Fast, clear instructions are needed**

7. An owner decides everything herself but explains each decision and looks after staff welfare. Which leadership style is this?
   ✔ **Paternalistic**

8. What is a main drawback of democratic leadership in a busy dealership?
   ✔ **Decisions can take longer**